APEX TERMINAL | EQUITY RESEARCH

GAPCO | SELL | 12M outlook

GAPCO | GAPCO Sample Co. | Consumer Discretionary | Specialty Retail

US listing (NASDAQ / NYSE) | USD | 12M outlook | report date 2026-10-26

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SYNTHETIC DATA - NOT FOR INVESTMENT USE

Every financial figure in this report is generated by the local deterministic engine from a synthetic fixture. These are not company-reported financials, not audited disclosures, and must not be read as a description of any real company or used for investment decisions.

Investment Summary

RATING	TARGET (12M)	IMPLIED UPSIDE	LAST PRICE
SELL	6.41 USD	-71.4%	22.40 USD

SELL | 12M | target 6.41 USD vs last close 22.40 USD (-71.4% downside)

GAPCO Sample Co. (GAPCO, NASDAQ / NYSE) operates in the Consumer Discretionary sector (Specialty Retail) and last closed at 22.40 USD, inside a 52-week range of 14.20-n/a (last close at an unavailable position of the range). The company carries a market capitalisation of 3.36B USD. It employs approximately 4,200 people. Our 12M view is SELL with a target of 6.41 USD, which looks fully valued to stretched on our assumptions. The base case compounds revenue from 820.00M USD (last reported period) to 1.05B USD over 5 forecast years - a 5.1% CAGR - while the EBITDA margin moves from 18.3% in the first forecast year to 18.3% in the final year. Final-year free cash flow of 49.46M USD equals 25.7% of EBITDA, a 4.7% free-cash-flow margin that supports reinvestment and any capital returns. Discounting the forecast free cash flow at a 8.50% WACC with 2.5% terminal growth produces an enterprise value of 761.94M USD and equity value of 961.94M USD, implying 6.41 USD per share. The terminal value contributes 73.8% of enterprise value, so long-run assumptions dominate the estimate. At the current market price of 22.40 USD the implied WACC is 3.92% versus our stated 8.50% - the market demands a higher return than our stated cost of capital. On the latest reported balance sheet, net debt stands at -200.00M USD (-1.33x last-reported EBITDA), with return on invested capital at 2.0% and return on equity at 1.8%.

Company & Industry

Market cap	3.36B USD
Employees	4,200
Last close	22.40 USD
52-week range	14.20 - n/a
Last reported period	2024-12-31

Business overview

Sparse sample fixture: only two annual income periods, no cash-flow statement and a partially blank price summary. Every figure in this profile is generated deterministically in this browser for GAPCO.

Industry context

Volume-vers-price decomposition and market-share data are not available; mix and pricing commentary is limited to margin movements in reported figures. Sector-specific metrics a professional consumer discretionary note would track: Revenue growth (available); Gross margin (pricing / mix) (available); Working-capital intensity (available); Volume vs price decomposition (unavailable - not disclosed in the dataset); Brand / market-share data (unavailable - not disclosed in the dataset).

Sector metrics a professional note would track

- Revenue growth: available
- Gross margin (pricing / mix): available
- Working-capital intensity: available
- Volume vs price decomposition: unavailable - not disclosed in the dataset
- Brand / market-share data: unavailable - not disclosed in the dataset

Financial Statements - Reported History

Financial performance

Reported coverage is limited to 2 annual periods (2024); a multi-year trend cannot be established. In 2024 revenue was 820.00M USD (5.1% year on year), with gross margin 43.9%, operating margin 14.6%, EBITDA margin 18.3% and net margin 11.1%. Reported EBITDA was 150.00M USD and net income was 91.00M USD, with diluted EPS of not available. Revenue moved by 40.00M USD (an increase) versus 2023, which on the reported statements reflects volume/mix and pricing in aggregate; the dataset does not decompose the change. EBITDA moved by 24.00M USD (an increase) over the same period. Return on invested capital was 2.0%, return on equity 1.8% and return on assets 1.2% in 2024. The latest balance sheet carries net debt of -200.00M USD with a current ratio of 2.00. Free cash flow is not available for the latest reported period; cash conversion cannot be assessed from history.

Income statement

Period	Revenue	Gross profit	Operating income	EBITDA	Net income	EPS
2024	820.00M	360.00M	120.00M	150.00M	91.00M	-
2023	780.00M	330.00M	100.00M	126.00M	76.00M	1.81

Source: All figures in USD. Synthetic local fixture.

Balance sheet

Period	Total assets	Cash	Total debt	Equity	Net debt
2024	7.50B	1.20B	1.00B	5.00B	-200.00M
2023	6.80B	1.00B	900.00M	4.55B	-100.00M

Source: All figures in USD. Synthetic local fixture.

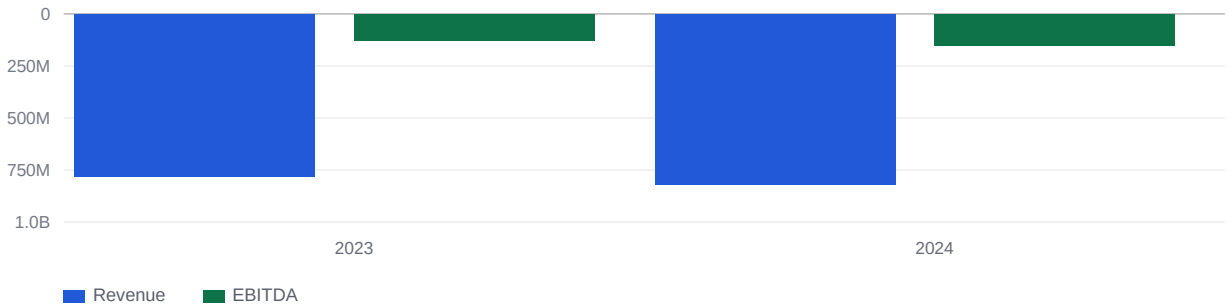
Cash-flow statement unavailable

The dataset carries no cash-flow statement for this company. Historical free cash flow, operating cash flow and capex are reported as null and are never estimated.

Key ratios

Period	Rev growth	Gross margin	Op margin	Net margin	ROIC	FCF
2024	5.1%	43.9%	14.6%	11.1%	2.0%	-
2023	-	42.3%	12.8%	9.7%	1.8%	-

Source: Derived from reported statements. Nulls preserved where data is missing.



Source: Reported revenue and EBITDA (USD).

Base-Case Forecast

Year	Revenue	EBITDA	EBIT	Net income	FCF	Shares
Y2025	862.05M	157.69M	126.15M	93.50M	68.75M	150.00M
Y2026	906.26M	165.78M	132.62M	98.61M	41.69M	150.00M
Y2027	952.73M	174.28M	139.42M	104.00M	44.15M	150.00M
Y2028	1.00B	183.22M	146.57M	109.65M	46.74M	150.00M
Y2029	1.05B	192.61M	154.09M	115.60M	49.46M	150.00M

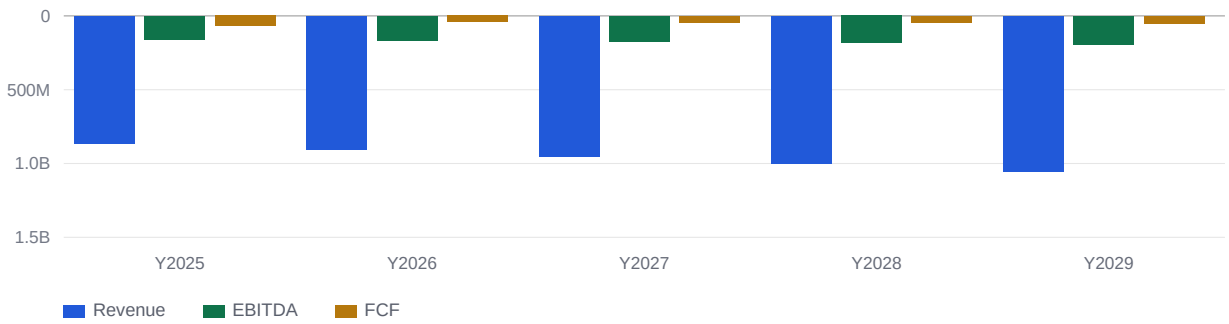
Source: Forecast figures in USD. Deterministic model output.

Revenue CAGR	5.1%
Final revenue	1.05B USD
Final EBITDA	192.61M USD
Final free cash flow	49.46M USD
Balance-sheet identity	Balanced in every year

Forecast drivers (documented assumptions)

Revenue Growth	5.13%
Gross Margin	43.90%
Opex Ratio	29.27%
Tax Rate	20.87%
Da Pct	3.66%
Capex Pct	8.33%
Nwc Pct	33.00%
Interest Rate	0.80%
Dividend Payout	30.00%
Excess Cash Sweep	0.00%
Share Dilution	0.00%

8 of 11 drivers are derived from reported history; the remainder are documented engine defaults or user inputs (per-driver sources in the provenance table).



Source: Forecast revenue, EBITDA and free cash flow (USD).

Valuation - Discounted Cash Flow

Valuation view

The DCF discounts 5 annual free cash flows at 8.50%. Present value of explicit cash flows is 199.97M USD; present value of the terminal value is 561.97M USD. Enterprise value of 761.94M USD bridges to equity value of 961.94M USD via net cash of 200.00M USD, implying 6.41 USD per share. That implies an EV/EBITDA multiple of 4.0x on final-year EBITDA of 192.61M USD. The WACC-versus-terminal-growth grid brackets a value-per-share range of 4.86-11.04; sensitivity analysis maps the model's response to assumptions - it does not remove uncertainty. Reverse DCF: at the current market price of 22.40 USD the implied WACC is 3.92% versus our 8.50% - the market demands a higher return than our stated cost of capital. Implied exit multiple on final-year EBITDA: 4.0x.

WACC build-up (CAPM, documented defaults)

Risk-free rate	4.00%
Equity beta	1.00
Market risk premium	5.50%
Cost of equity (Rf + beta x MRP)	9.50%
Pre-tax cost of debt	6.00%
Tax rate	25.00%
After-tax cost of debt	4.50%
Equity / debt weight	70% / 30%
WACC applied	8.50%

Free cash flows and discounting

Year	Free cash flow	Discount factor	Present value
Y1	68.75M	0.9217	63.36M
Y2	41.69M	0.8495	35.41M
Y3	44.15M	0.7829	34.57M
Y4	46.74M	0.7216	33.73M
Y5	49.46M	0.6650	32.90M

Enterprise-to-equity bridge

PV of explicit cash flows	199.97M USD
PV of terminal value	561.97M USD
Terminal value share of EV	73.8%
Enterprise value	761.94M USD
Net cash	200.00M USD
Equity value	961.94M USD
Shares outstanding	150.00M
Value per share	6.41 USD
Implied exit multiple on final EBITDA	4.0x
Implied upside vs last price	-71.4%

Sensitivity - WACC vs terminal growth

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	7.62	8.19	8.90	9.82	11.04
7.5%	6.59	6.96	7.41	7.96	8.64
8.5%	5.85	6.11	6.41	6.77	7.21
9.5%	5.29	5.48	5.70	5.95	6.25
10.5%	4.86	5.01	5.17	5.35	5.56

Source: Value per share (USD). Sensitivity maps model response to assumptions; it does not remove uncertainty.

Reverse DCF at the current market price

At a market price of 22.40 USD the implied WACC is 3.92%, versus our stated 8.50%. The market discounts these cash flows more steeply than our cost of capital.

Scenario analysis

Bull: Bull case: target of 7.37 USD (+15% versus base) if revenue growth runs ahead of the 5.1% path and the terminal margin holds at 18.3%.

Base: Base case: target of 6.41 USD on 5.1% revenue CAGR, 8.50% WACC and the stated terminal assumption.

Bear: Bear case: target of 5.45 USD (-15% versus base) if growth decelerates and the discount rate widens by 100 basis points.

Risks & Catalysts

Strengths

- Revenue compounding of 5.1% CAGR on the base case, with EBITDA margin at 18.3% by the final forecast year.
- Net cash of 200.00M USD provides balance-sheet flexibility through the cycle.
- The three-statement forecast passes its balance-sheet identity check in every projected year.

Risks

Terminal-value dependence

Exposure: The present value of the terminal value is 73.8% of enterprise value.
Impact: Small changes to the discount rate or long-run growth swing the target materially.
Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid
Scenario: Value per share across the sensitivity grid ranges 4.86-11.04.
Basis: fact

Synthetic data provenance

Exposure: All financial inputs come from the local deterministic fixture, not company filings.
Impact: No conclusion in this report should be relied upon as a description of any real company.
Monitoring metric: Data-status label on the cover of this report
Basis: fact

Missing sector-specific evidence

Exposure: Volume vs price decomposition, Brand / market-share data are not available in the dataset.
Impact: Sector-specific failure modes cannot be quantified.
Monitoring metric: Disclosure of unavailable metrics in the industry section
Basis: fact

Wide valuation dispersion

Exposure: The sensitivity grid spans 96.3% of the base-case value per share.
Impact: Small assumption changes move the target by a material margin.
Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid
Basis: fact

Catalysts

Revenue upside versus plan

Event: Reported revenue tracking above the 5.1% base-case path
Timing: Next reported annual period; exact timing is unknown
Grounding: Each point of revenue upside converts at the 18.3% terminal-year EBITDA margin.

Capital returns from net cash

Event: Buyback, special dividend or step-up in recurring distributions
Timing: Timing unknown; requires board action
Grounding: Net cash of 200.00M USD on the latest balance sheet would fund returns without new leverage.

Multiple re-rating

Event: Market multiple moving toward the model-implied 4.0x exit level
Timing: Timing unknown
Grounding: The DCF embeds a 4.0x exit multiple on final-year EBITDA of 192.61M USD.

Operating leverage

Event: Operating margin expands as fixed costs are absorbed by a larger revenue base
Timing: Progressive across the forecast horizon
Grounding: The model holds the opex ratio at 29.3% while revenue compounds, so incremental revenue largely drops to operating profit.

Model Quality & Integrity Review

> **Conviction: LOW**
>
> Conviction is constrained by limited history, synthetic data, missing sector evidence.

Data status: SYNTHETIC - deterministic local fixture. Figures are not company-reported. Reported coverage is limited to 2 annual periods (2024); a multi-year trend cannot be established. Sector metrics unavailable: Volume vs price decomposition, Brand / market-share data. Balance-sheet identity holds in every projected year - necessary but not sufficient for economic correctness. Principal assumptions (8 derived from reported history): revenue growth 5.13%; gross margin 43.90%; opex ratio 29.27%; tax rate 20.87%; da pct 3.66%; capex pct 8.33%. Drivers derived from reported history: revenue growth, gross margin, opex ratio, tax rate; remaining drivers are documented engine defaults or user inputs.

Automated checks

Balance-sheet identity	Pass
DCF produced a value	Yes
Valuation warnings	0
Integrity errors (blocking)	0
Integrity warnings	3

Validation detail

[WARN] history.short: Only 2 annual period(s) available; multi-year trend tables are limited.
[WARN] data.stale: Latest reported period is ~22 months old; estimates may be stale.
[WARN] data.synthetic: Figures come from the deterministic local fixture (synthetic sample data).

Sources & Methodology

Data sources (numbered)

#	Metric	Value	Period	Status	Source
1	Revenue	820,000,000	2024-12-31	synthetic	APEX local deterministic fix
2	Revenue growth	0.05	2024-12-31	derived	APEX local deterministic fix
3	Gross margin	0.44	2024-12-31	derived	APEX local deterministic fix
4	Operating margin	0.15	2024-12-31	derived	APEX local deterministic fix
5	Net income	91,000,000	2024-12-31	synthetic	APEX local deterministic fix
6	EBITDA	150,000,000	2024-12-31	synthetic	APEX local deterministic fix
7	Free cash flow	n/a	2024-12-31	synthetic	APEX local deterministic fix
8	Net debt	-200,000,000	2024-12-31	derived	APEX local deterministic fix
9	Diluted EPS	n/a	2024-12-31	synthetic	APEX local deterministic fix
10	Shares outstanding	150,000,000	2024-12-31	synthetic	APEX local deterministic fix
11	Assumption: revenue growth	0.0512821	forecast horizon	derived	Derived from reported revenu
12	Assumption: gross margin	0.439024	forecast horizon	derived	Derived from reported gross
13	Assumption: opex ratio	0.292683	forecast horizon	derived	Derived from reported operat
14	Assumption: tax rate	0.208696	forecast horizon	derived	Derived from reported tax ex
15	Assumption: da pct	0.0365854	forecast horizon	derived	Derived from reported deprec
16	Assumption: capex pct	0.0833	forecast horizon	assumption	Engine default (documented a
17	Assumption: nwc pct	0.33	forecast horizon	derived	Derived from reported (curre
18	Assumption: interest rate	0.008	forecast horizon	derived	Derived from reported intere
19	Assumption: dividend payout	0.3	forecast horizon	assumption	Engine default (documented a
20	Assumption: excess cash sweep	0	forecast horizon	assumption	Engine default (documented a
21	Assumption: share dilution	0	forecast horizon	derived	Derived from reported share
22	DCF value per share	6.41	valuation date	derived	APEX local deterministic fix
23	WACC	0.09	valuation date	assumption	APEX local deterministic fix
24	Enterprise value	761,939,571.1	valuation date	derived	APEX local deterministic fix

Methodology

Forecast: a deterministic three-statement model driven by the documented assumptions in the forecast section. Valuation:

unlevered free cash flows discounted at a CAPM-built WACC, with a Gordon-growth or exit-multiple terminal value. Rating: a mechanical band on model upside (BUY >= +10%, HOLD within ?10%, SELL below -10%), withheld entirely when integrity gates fail. Every figure is a model output; the deterministic engine writes the narrative from those outputs and never invents numbers.

Peer set — None supplied (comparables omitted)

Conclusion

On the evidence supplied we are cautious. The thesis would be strengthened by revenue tracking at or above 5.1%, cash conversion holding near 25.7% of EBITDA, ROIC sustained above 2.0%, a net-cash balance sheet; it would be weakened by rising terminal-value dependence, continued absence of sector-specific disclosure, reliance on synthetic sample data. Material unresolved questions are those listed as unavailable in the industry and model-quality sections; they are disclosed rather than estimated.

Investment thesis

GAPCO Sample Co. offers Consumer Discretionary exposure (Specialty Retail) with a 5.1% modelled revenue CAGR, a terminal-year EBITDA margin of 18.3% and 25.7% EBITDA-to-FCF conversion on the base case. Revenue scales from 820.00M USD to 1.05B USD across the forecast horizon, while the mechanical rating of SELL reflects -71.4% downside versus the 22.40 USD last close. The balance sheet carries 200.00M USD of net cash (1.33x last-reported EBITDA). The conviction basis is described below.

Thesis drivers

- Growth: revenue CAGR of 5.1% from 820.00M USD to 1.05B USD across the forecast horizon.
- Margins: EBITDA margin of 18.3% rising to 18.3%, consistent with operating leverage on the modelled cost base.
- Cash conversion: final-year free cash flow of 49.46M USD, 25.7% of EBITDA.
- Balance sheet: net cash of 200.00M USD at 1.33x EBITDA limits financial risk premium.
- Valuation: DCF value of 6.41 USD per share versus a 22.40 USD market price (-71.4% downside).

Disclaimer

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